High- and Low-Quality Value Stocks

We can use any number of methods to whittle the universe down further to a more manageable portfolio. One possibility is that, like the Magic Formula, we employ a measure of Buffett-esque quality. We've already seen that return on invested capital—the measure of quality used in the Magic Formula—doesn't add to the performance of the enterprise multiple. Another metric of quality we can test that seeks to achieve the same end as return on invested capital is Robert Novy-Marx's ratio of gross profits-to-total assets, which is defined as follows:[13]

Gross profits-to-total assets = (revenue − cost of goods sold) ÷ total assets

In contrast to Greenblatt's measure, Novy-Marx finds that his ratio works on a stand-alone basis to identify stocks that outperform the market:[14]

> [Gross profits-to-total assets] has roughly the same power predicting the cross-section of expected returns as book-to-market.

Novy-Marx's gross-profits-to-total-assets measure rewards stocks that generate more gross profit per dollar of total assets. This means that it uses different metrics to Greenblatt's return on invested capital measure to make a similar assessment of a business's performance. There are several subtle differences between the two ratios. First, Novy-Marx's gross-profits-to-total assets-ratio measures a business's profitability from the top of the income statement, where the return on invested capital ratio uses EBIT, which is reconstructed from the bottom of the income statement. Thus, argues Novy-Marx, gross profits is the "cleaner" measure of true economic profitability:[15]

> *The farther down the income statement one goes, the more polluted profitability measures become, and the less related they are to true economic profitability. For example, a firm that has both lower production costs and higher sales than its competitors is unambiguously more profitable. Even so, it can easily have lower earnings than its competitors. If the firm is quickly increasing its sales though aggressive advertising, or commissions to its sales force, these actions can, even if optimal, reduce its bottom line income below that of its less profitable competitors. Similarly, if the firm spends on research and development to further increase its production advantage, or invests in organizational capital that will help it maintain its competitive advantage, these actions result in lower current earnings. Moreover, capital expenditures that directly increase the scale of*